attractive rapid career progression supported by strong training programmes to new hires – with thinning middle management, the mix of experience and capabilities should shift towards capabilities.

And to get talent in specialized areas like project evaluation, risk management, and IT, they may have to hire laterally in small doses. While contractual hires are currently permitted, better personnel would be attracted only by a strong prospect of career progression internally. Banks will have to think about how to enable this.

One of the difficulties public sector banks have is court judgments that prohibit hiring from specific campuses. This leads to anomalies like the public-sector-bank-supported National Institute of Bank Management sending most of its high quality graduates to work for private sector banks. Public sector banks can petition the courts to allow some modicum of campus hire, especially when the campus chooses openly through a national exam. Another alternative is to make bank entrance exams much less onerous to take, with applications, tests, and results, wherever possible, available quickly and online. The banks then have an easier task of persuading students on elite campuses to take the exam. We are following this latter course at the RBI.

To have local information, be comfortable with local culture, be locally accepted, and be competitive in low-cost rural areas, PSBs will have to have more freedom to hire locally, and pay wages commensurate with the local labour market. Alternatively, they will have to be much more effective in using technology to reduce costs. Finally, as banks adopted differentiated strategies, they should move away from common compensation structures and common promotion schemes across all public sector banks.

While one of the strengths of the public sector sometimes is the absence of pay and promotion that is very sensitive to performance,